

STANDARD CHARTERED BANK: VALUATION AND CAPITAL STRUCTURE¹

Ruth S. K. Tan, Zsuzsa R. Huszár and Weina Zhang wrote this case solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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In November 2014, Standard & Poor's (S&P) — a major U.S. credit rating agency — downgraded Standard Chartered Bank's long-term debt from AA– to A+, and its short-term debt from A-1+ to A-1.² The new rating meant that Standard Chartered Bank (SCB) had a “strong capacity to meet its financial commitments, but was somewhat more susceptible to the adverse effects of changes in circumstances and economic conditions.”³ The downgrade came after a string of profit warnings issued by the bank, and was the first downgrade for SCB in 20 years since S&P started rating the bank in 1994.⁴ According to the rating agency, SCB remained one of the most creditworthy in its class, but “the group [was] no longer materially less exposed to unexpected losses than [its] peers.”⁵

There were reasons to be bearish about SCB's outlook. Its shares had been amongst the worst performing stocks of the 30 global, systemically important banks (G-SIBs).⁶ G-SIBs were banks that, should they fail, might trigger a financial crisis. The list of such banks was published by the Financial Stability Board in 2014.⁷ SCB's large exposure to emerging markets in Asia, Africa and the Middle East weighed heavily on the minds of investors as interest rates started to creep upwards along with the recovery of the U.S. economy.⁸ The threat of large-scale defaults in these emerging markets, coupled with slowdowns in China and India, had increased the vulnerability of the bank's balance sheet.

In October 2014, U.S. authorities had reopened investigations into whether SCB had withheld prohibited transactions from investigators in 2012, when it paid a total of US\$667 million.⁹ Portions of this total were paid to the New York State Department of Financial Services (\$340 million), the New York City District Attorney and Department of Justice (\$95 million), the Treasury Office of Foreign Assets Control (\$132 million) and the Federal Reserve (\$100 million).¹⁰ The authorities also signed a deferred prosecution agreement to resolve a criminal case of sanction breaches in Iran, the Sudan and Myanmar.¹¹

Some of the bank's largest investors pushed for radical changes, such as the departure of its chairman, Sir John Peace, as well as its chief executive, Peter Sands.¹² They also pushed for the relocation of its London, England, base of operations to either Hong Kong or Singapore, for tax purposes.¹³

TEMASEK'S STAKE IN SCB

The Singapore investment fund Temasek Holdings became the single largest shareholder of SCB in March 2006, after its purchase of an 11.5 per cent stake in the company (worth about \$4 billion) from the estate of the hotelier Khoo Teck Puat. Khoo was a reclusive Singaporean billionaire who had died in 2004. By December 2007, Temasek had increased its investment to 18 per cent, and its stake hovered between 18 and 19 per cent thereafter.¹⁴

Investment in a bank which specialized in emerging markets with a strong Asian focus placed Temasek in a position to benefit from Asia's economic growth. From 2008 to 2013, SCB benefited from its Asian focus because these emerging markets grew faster than the U.S. and European economies did.¹⁵ As a result, SCB weathered the financial crisis relatively unscathed.¹⁶

When Asia started experiencing slower economic growth in 2013, SCB's fortunes took a turn for the worse. The slower growth and the U.S. investigations caused SCB's stock price to plummet. As of March 31, 2014, Temasek had a net debt-to-equity ratio of 0.02¹⁷ and a risk-adjusted aggregated hurdle rate of 8 per cent.¹⁸

EFFORTS TO IMPROVE FINANCIAL PERFORMANCE

SCB had made deliberate moves to cut costs and increased its business focus. In early January 2015, the bank dismantled its stockbroking, equity research and equity listing desks worldwide, becoming one of the first global banks to get out of the equity capital markets business completely. A total of 200 jobs were cut — almost all of them in Asia. SCB also announced plans to cut 4,000 jobs in retail banking, which represented approximately 5 per cent of the bank's 86,000 employees.¹⁹

VALUATION

On the London Stock Exchange,²⁰ SCB's adjusted closing share price stood at \$13.08²¹ on March 1, 2006, around the time of Temasek's initial purchase. It hit a peak of \$24.35 on March 14, 2013, and was on a downward trend thereafter. The share closed at \$14.71 on February 16, 2015. The decline of SCB's share price raised concerns that it might in fact be oversold and under-priced. However, it was obvious that bearish sentiments regarding the share remained.

As far back as October 2011, there were some signals that Temasek might move away from its SCB stake when it raised \$502 million by selling a zero-coupon bond that could be exchanged for SCB shares if the bank shares rose beyond the requisite 27 per cent premium to the then share price of \$21.98.²² The poor record in 2014 reignited speculation that Temasek might offload its stake.

If Temasek decided to sell a part of, or all of, its stake in SCB on February 16, 2015, what would be a reasonable valuation for SCB's shares based on its past financial performance and other relevant market information? Summaries of the historical financial statements are provided in Exhibits 1 and 2.

Some assumptions and projections of the free cash flow to equity for 2014 through to 2024 and beyond are available in Exhibit 3. Corresponding projections with attendant assumptions that would be useful for a dividend discount model valuation are presented in Exhibit 4. This includes information on the required return on equity, and the estimated dividends from 2014 through to 2024 and beyond.

For a relative valuation analysis using a peer comparison, data had been collected, but a suitable peer group had yet to be identified (see Exhibit 5). Stock charts that show the price performance of SCB relative to its competitors are offered in Exhibits 6 and 7.

NEW CAPITAL RULE UNDER BASEL III

Under Basel III²³ regulatory rules, banks that held “significant” investments in other financial groups (classified as more than 10 per cent of their total equity) would have to hold more capital against these investments. Specifically, the investments in excess of the 10 per cent threshold were to be excluded in the calculation of Tier 1 capital. The Tier 1 capital ratio is defined as the ratio of a bank’s core equity capital (common stock and retained earnings) to its risk-weighted assets.

This new rule made it more expensive for banks to hold investments in other banks.²⁴ It trapped capital on the balance sheet and could force banks to shrink if they chose to dump these investments. Holding more capital against these investments, on the other hand, would cause a bank’s returns to decline and might also hurt share prices.

Because Standard Chartered held significant investments in the Agricultural Bank of China (\$621 million),²⁵ PT Bank Permata (\$638 million), Vietnam’s Asia Commercial Joint Stock Bank (\$105 million), and China Bohai Bank (\$123 million),²⁶ it would have to raise funds equivalent to the total excess investments in these financial institutions. Thus, SCB might find it unattractive to hang on to these bank investments.

Assuming that SCB decided to hold on to these bank investments and to raise funds to satisfy the higher capital requirement, what could be some possible financing alternatives? Would it help to attract more bank deposits? Should it raise debt? Should it go for a seasoned offering? What would be the impact of these financing alternatives? What would be a suitable recommendation on how to raise the funds if one took the valuation results into consideration?

EXHIBIT 1: INCOME STATEMENT FOR STANDARD CHARTERED BANK (US\$)

	2008	2009	2010	2011	2012	2013
Interest income	16,378	12,926	13,500	16,584	17,827	17,593
Interest expense	8,991	5,303	5,030	6,431	7,046	6,437
Net interest income	7,387	7,623	8,470	10,153	10,781	11,156
Non-interest income	6,581	7,561	7,592	7,484	8,002	7,621
Total income	13,968	15,184	16,062	17,637	18,783	18,777
Provision for credit losses	1,321	2,000	883	908	1,196	1,617
Gross income	12,647	13,184	15,179	16,729	17,587	17,160
Non-interest expense	7,611	7,952	9,023	9,917	10,722	10,193
Others (other impairment and profit from associates)	-468	-81	-34	-37	-14	-903
Profit before tax	4,568	5,151	6,122	6,775	6,851	6,064
Provision for income taxes	1,224	1,674	1,708	1,842	1,866	1,864
Net income	3,344	3,477	4,414	4,933	4,985	4,200

Source: Standard Chartered PLC, "Standard Chartered PLC Annual Report 2013: Driving Investment, Trade and the Creation of Wealth across Asia, Africa and the Middle East," 2014, <http://reports.standardchartered.com/annual-report-2013/pdf/2013-Annual-Report.pdf>, accessed February 16, 2015.

EXHIBIT 2: BALANCE SHEET FOR STANDARD CHARTERED BANK (US\$)

	2008	2009	2010	2011	2012	2013
Short-term assets						
Cash and due from banks	46,583	50,885	52,058	65,981	67,797	83,702
Federal funds	24,161	18,131	32,724	47,364	60,537	54,534
Other short-term investments	92,575	67,327	79,709	88,845	80,422	93,965
Investment securities held available-for-sale	61,849	69,040	70,967	79,790	95,374	99,888
Total investment	225,168	205,383	235,458	281,980	304,130	332,089
Customer loans						
Commercial loans	89,817	98,563	118,172	133,229	138,733	149,312
Real estate construction loans	2,325	2,523	2,454	3,804	4,645	3,967
Residential mortgages	47,567	57,637	70,662	72,574	72,627	69,789
Consumer loans	33,097	36,946	46,488	52,676	57,790	60,013
Lease financing (commercial real estate)	6,357	7,008	9,388	10,255	11,543	13,630
International loans						
Total customer loans	179,163	202,677	247,164	272,538	285,338	296,711
Impairment provision, customers	4,985	4,385	6,806	5,748	5,700	6,003
Loans and advances to customers	174,178	198,292	240,358	266,790	279,638	290,708
Other assets						
Premises and equipment	3,586	4,103	4,507	5,078	6,620	6,903
Customer liability on acceptance outstanding	2,574	3,080	4,847	5,485	4,957	5,501
Accrued income and prepayments	3,466	3,241	2,127	2,521	2,552	2,510
Other assets	26,096	22,554	29,263	30,832	33,311	36,669
Total assets	435,068	436,653	516,560	592,686	631,208	674,380

EXHIBIT 2: (CONTINUED)

	2008	2009	2010	2011	2012	2013
Deposits						
Non-interest-bearing deposits	24,195	30,572	40,820	38,510	42,230	45,482
Saving deposits	93,092	126,726	137,255	153,185	173,103	181,159
Customer certificates of deposits	145,206	133,882	162,652	193,035	201,123	200,142
Institutional certificates of deposits	12,084	4,509	5,249	6,502	6,056	8,714
Total interest-bearing deposits	250,382	265,117	305,156	352,722	380,282	390,015
Total deposits	274,577	295,689	345,976	391,232	422,512	435,497
Financial liabilities held at fair value through profit or loss	8,660	5,984	10,433	10,210	13,211	10,914
Total deposit liabilities	265,917	289,705	335,543	381,022	409,301	424,583
Other liabilities						
Short-term borrowings						
Acceptances outstanding	2,539	2,963	4,774	5,473	4,900	5,501
Accruals and deferred income	4,132	4,113	4,528	4,458	4,811	4,668
Other liabilities	139,785	111,952	132,850	160,358	166,141	192,787
Total liabilities	412,373	408,733	477,695	551,311	585,153	627,539
Share capital	948	1,013	1,174	1,192	1,207	1,214
Share premium account	4,743	4,828	5,386	5,432	5,476	5,493
Capital and capital redemption reserve	18	18	18	18	18	18
Merger reserve	5,450	7,284	12,421	12,421	12,421	12,421
Available-for-sale reserve	-5	-93	306	-109	478	446
Cash flow hedge reserve	-83	15	57	-13	81	15
Translation reserve	-1,784	-1,185	-412	-1,394	-885	-2,106
Retained earnings	12,853	15,460	19,260	23,167	26,566	28,745
Parent company shareholders' equity	22,140	27,340	38,212	40,714	45,362	46,246
Non-controlling interest	555	580	653	661	693	595
Total equity	22,695	27,920	38,865	41,375	46,055	46,841
Total equity and liabilities	435,068	436,653	516,560	592,686	631,208	674,380

Source: Standard Chartered PLC, "Standard Chartered PLC Annual Report 2013: Driving Investment, Trade and the Creation of Wealth across Asia, Africa and the Middle East," 2014, <http://reports.standardchartered.com/annual-report-2013/pdf/2013-Annual-Report.pdf>, accessed February 16, 2015.

EXHIBIT 3: DISCOUNTED CASH FLOW VALUATION ASSUMPTIONS

1. Interest income is expected to grow at the rates shown in the table below. From 2014 to 2016, with SCB's downturn, modest growth using the average growth rate from 2008 to 2013 of 2.48 per cent is projected. From 2017 to 2023, SCB will enter a higher growth phase and a 4.5 per cent growth is assumed. Beyond that, the terminal growth rate is estimated to be 5 per cent. The base interest income at Year -1 (FY2013) is \$17,593. Year 0 is FY2014. Discount the free cash flows starting from 2015.
2. Other items are assumed to grow proportionately with interest income. Interest expense, non-interest income, provision for credit losses, and non-interest expense are estimated to be 41.35 per cent, 48.04 per cent, 8.58 per cent and 58.47 per cent of interest income, respectively. Tax is applied at 28.714 per cent on taxable income.
3. As SCB's interest expense is considered a "cost of goods sold" due to the nature of the banking business, the free cash flows are calculated after deducting interest expense and therefore are essentially cash flows to equity.
4. The valuation assumes that capital spending and net operating working capital are negligible.
5. No adjustments for outstanding warrants and share options are made in calculating value per share.

Year-on-Year Interest Income Growth

Year (estimates)	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Interest income (%)	2.48	2.48	2.48	4.5	4.5	4.5	4.5	4.5	4.5	4.5	5

Source: Created by the authors based on assumptions stated above.

EXHIBIT 4: DIVIDEND DISCOUNT MODEL VALUATION ASSUMPTIONS AND OTHER SELECTED FINANCIAL DATA

Financial Year End:	December 31
Ordinary Shares Outstanding:	2.427 billion
Equity Beta:	1.23
U.K. Government Bond Yield:	2.62%
Market Risk Premium:	6.35%
Dividend per Share in 2014 (Year 0):	US\$0.86
Book Value per Share:	US\$19.05

Dividends are expected to grow at the rates shown in the table below. From 2015 to 2017, with SCB still working towards recovery, modest growth of 3 per cent is expected. From 2018 to 2023, SCB will have rebounded and with its retail banking growth potential, a higher growth of 5 per cent is assumed. The terminal growth rate is estimated to be 7 per cent.

Year-on-Year Dividend Growth

Year (estimates)	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Dividend growth rate (%)		3	3	3	5	5	5	5	5	5	7
Dividend per share (\$)	0.86	0.89	0.91	0.94	0.99	1.04	1.09	1.14	1.20	1.26	1.35

Source: Created by the authors based on assumptions stated above.

EXHIBIT 5: KEY FINANCIAL FIGURES AND MARKET-COMPARABLE MULTIPLES OF SELECTED PUBLICLY TRADED FIRMS

	SCB	Royal Bank of Scotland	Barclays	HSBC	UBS	ING	Deutsche Bank
Ticker	STAN	RBS	BARC	HSBA	UBS	ING	DB
Stock exchange	London	London	London	London	New York	New York	New York
Share price	956.40*	385.60*	257.87*	602.2*	17.19	14.03	32.29
Market capitalization	23.21B	43.73B	53.80B	121.52B	64.53B	54.08B	44.52B
Employees	86,000	110,800	139,600	254,000	60,205	84,718	98,138
Qtrly revenue growth (yoy) (%)	-9.20	58.90	9.10	11.30	7.00	14.90	23.80
Revenue (ttm**)	16.18B	14.3B	24.19B	58.36B	30.23B	29.02B	35.14B
Gross profit (ttm):	17.03B	11.43B	24.87B	58.96B	N/A	3.89B	N/A
EBITDA [†] (ttm)	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Operating margin (ttm) (%)	35.63	-14.71	26.93	32.25	9.55	34.47	16.01
Net income (ttm)	4.17B	-6.43B	1.03B	15.32B	3.84B	3.03B	1.90B
EPS (ttm, diluted)	1.70	-0.57	0.06	0.81	0.99	0.37	1.49
P/E (ttm, forward)	9.23	0.12	0.10	6.69	11.16	10.02	21.77
P/S (ttm)	2.23	3.08	2.21	2.07	2.11	3.39	1.24
P/B (mrq***)	0.74	0.71	0.89	0.62	1.17	0.92	0.55
Total cash	146.8B	486.5B	717.2B	964.52B	N/A	178.26B	1,170B
Total debt	143.8B	463.4B	647.7B	541.46B	N/A	205.87B	918B

Note: SCB's balance sheet and income statements are in USD, but the share prices are quoted in GBP. Use exchange rate of 1 USD = 0.65 GBP on February 16, 2015.

[†] Earnings Before Interest, Taxes, Depreciation and Amortization.

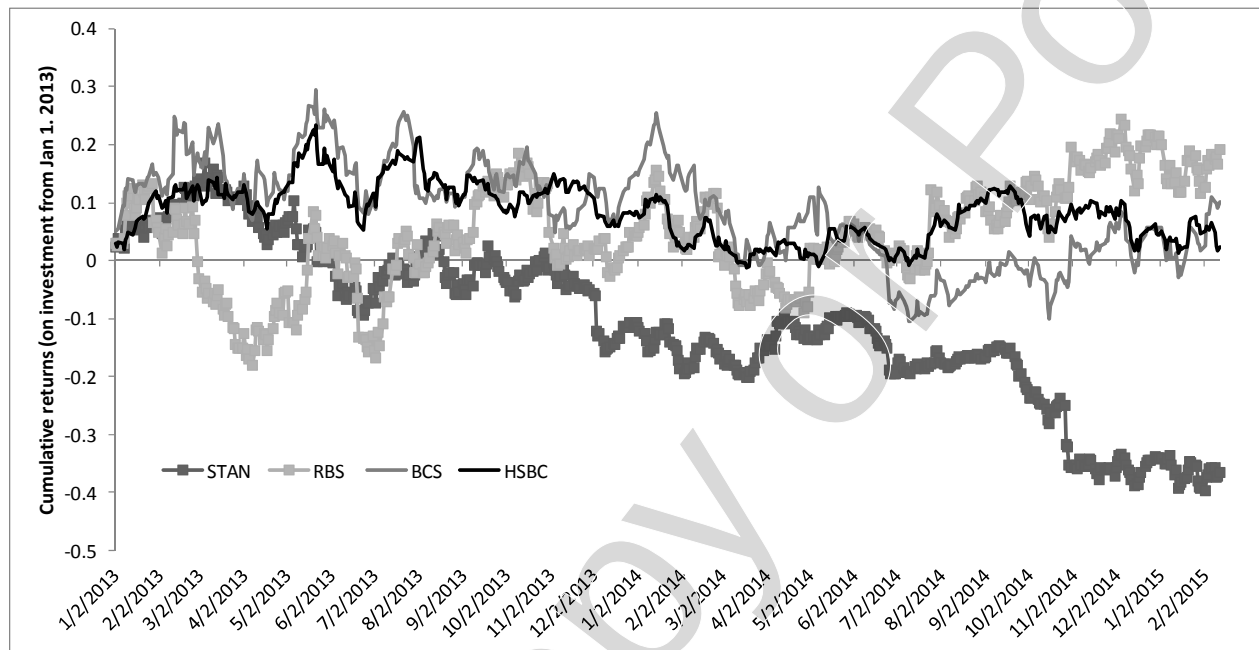
*share price quoted in GBP (pence).

**ttm = trailing 12 month

***mrq = most recent quarter

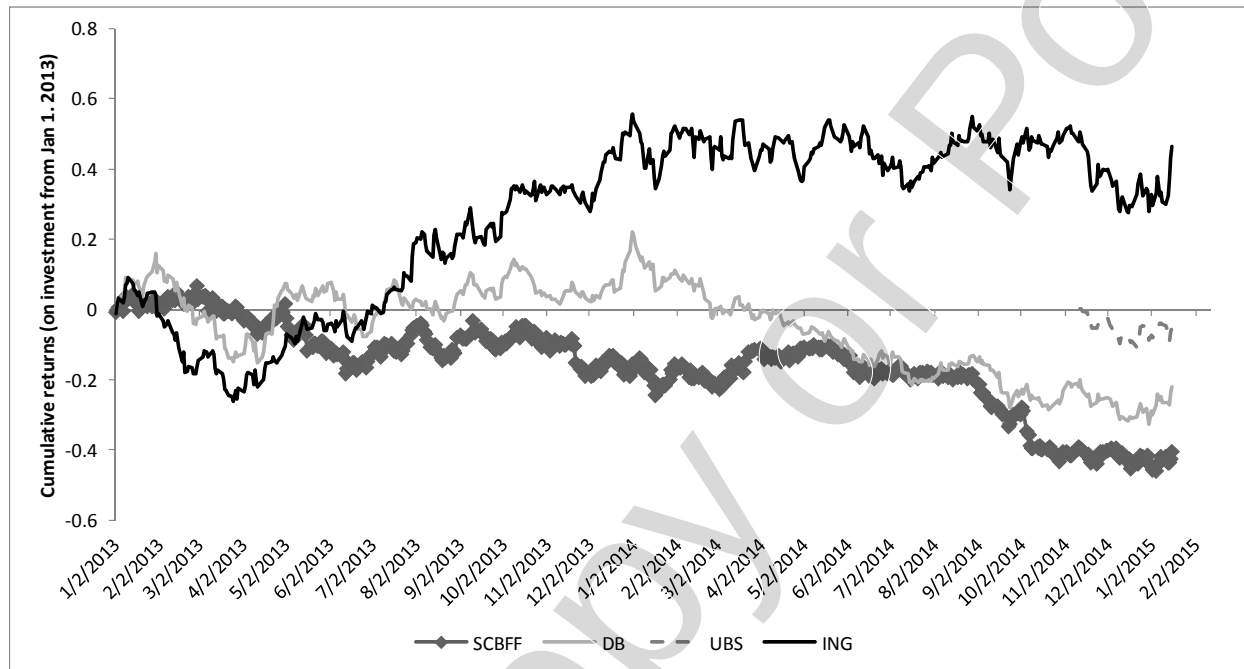
Source: Yahoo! Southeast Asia Pte. Ltd., "Standard Chartered PLC (STAN.L) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=STAN.L>, accessed February 16, 2015; Yahoo! Southeast Asia Pte. Ltd., "Royal Bank of Scotland Group plc (RBS.L) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=RBS.L>, accessed February 16, 2015; Yahoo! Southeast Asia Pte. Ltd., "Barclays PLC (BARC.L) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=BARC.L>, accessed February 16, 2015; Yahoo! Southeast Asia Pte. Ltd., "HSBC Holdings plc (HSBA.L) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=HSBA.L>, accessed February 16, 2015; Yahoo! Southeast Asia Pte. Ltd., "UBS Group AG (UBS) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=UBS>, accessed February 16, 2015; Yahoo! Southeast Asia Pte. Ltd., "ING Groep N.V. (ING) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=ING>; Yahoo! Southeast Asia Pte. Ltd., "Deutsche Bank AG (DB) — Key Statistics," <https://sg.finance.yahoo.com/q/ks?s=DB>, accessed February 16, 2015.

**EXHIBIT 6: STOCK CHART FOR SCB AND MAJOR COMPETITORS ON LSE,
JANUARY 2013–FEBRUARY 2015**



Source: Yahoo! Southeast Asia Pte. Ltd., "Standard Chartered PLC (SCBFF)," <https://sg.finance.yahoo.com/q/hp?s=SCBFF>, accessed August 25, 2015; Yahoo! Southeast Asia Pte. Ltd., "Royal Bank of Scotland Group plc (RBS.L) — Historical Prices," <https://sg.finance.yahoo.com/q?s=RBS.L>, accessed February 15, 2015; Yahoo! Southeast Asia Pte. Ltd., "Barclays PLC (BARC.L) — Historical Prices," <https://sg.finance.yahoo.com/q/hp?s=BARC.L>, accessed February 15, 2015; Yahoo! Southeast Asia Pte. Ltd., "HSBC Holdings plc (HSBA.L) — Historical Prices," <https://sg.finance.yahoo.com/q/hp?s=HSBA.L>, accessed February 15, 2015.

EXHIBIT 7: STOCK CHART FOR SCB (CROSSLISTED AS SCBFF) AND MAJOR COMPETITORS ON NYSE AND NASDAQ, JANUARY 2013–FEBRUARY 2015



Source: Yahoo! Southeast Asia Pte. Ltd., "Standard Chartered PLC (SCBFF)," <https://sg.finance.yahoo.com/q/hp?s=SCBFF>, accessed August 25, 2015; Yahoo! Southeast Asia Pte. Ltd., "Royal Bank of Scotland Group plc (RBS.L) — Historical Prices," <https://sg.finance.yahoo.com/q?s=RBS.L>, accessed February 15, 2015; Yahoo! Southeast Asia Pte. Ltd., "Barclays PLC (BARC.L) — Historical Prices," <https://sg.finance.yahoo.com/q/hp?s=BARC.L>, accessed February 15, 2015; Yahoo! Southeast Asia Pte. Ltd., "HSBC Holdings plc (HSBA.L) — Historical Prices," <https://sg.finance.yahoo.com/q/hp?s=HSBA.L>, accessed February 15, 2015.

ENDNOTES

¹ This case has been written on the basis of published sources only. Consequently, the interpretation and perspectives presented in this case are not necessarily those of Temasek, Standard Chartered or any of their employees.

² *The Telegraph*, "S&P Downgrades Standard Chartered for the First Time in Bank's History," November 28, 2014, www.telegraph.co.uk/finance/newsbysector/epic/standard/11260273/SandP-downgrades-Standard-Chartered-for-the-first-time-in-banks-history.html, accessed February 15, 2015.

³ Standard & Poor's, "Standard & Poor's Ratings Definitions," June 22, 2012, www.standardandpoors.com/spf/general/RatingsDirect_Commentary_979212_06_22_2012_12_42_54.pdf, accessed February 15, 2015.

⁴ *The Telegraph*, "S&P Downgrades Standard Chartered for the First Time in Bank's History," op. cit.

⁵ *Reuters*, "Standard Chartered Hit with First S&P Downgrade in 20 Years," November 28, 2014, www.business-times.com.sg/banking-finance/standard-chartered-hit-with-first-sp-downgrade-in-20-years, accessed February 15, 2015.

⁶ Financial Stability Board, "2014 Update of List of Global Systemically Important Banks," November 6, 2014, www.financialstabilityboard.org/2014/11/2014-update-of-list-of-global-systemically-important-banks, accessed February 15, 2015.

⁷ *Financial Times*, "Temasek Should Sit Tight on Troublesome Stake in StanChart," January 1, 2015, www.ft.com/intl/cms/s/0/1c0175de-90f9-11e4-914a-00144feabdc0.html#axzz3f4qsC5dl, accessed February 16, 2015.

⁸ *Ibid.*

⁹ All dollars amounts are in U.S. dollars. The exchange rate on December 10, 2012, was US\$1 = GBP£0.62241.

¹⁰ *The Wall Street Journal*, "Standard Chartered's Fine Tally Runs to \$667 Million," December 10, 2012, <http://blogs.wsj.com/deals/2012/12/10/standard-chartered-fine-tally-runs-to-667-million>, accessed February 26, 2015.

¹¹ *Financial Times*, "Temasek Should Sit Tight on Troublesome Stake in StanChart," op. cit.

¹² *The Telegraph*, "Standard Chartered Chief and Chairman to Leave in Dramatic 6-man Board Exodus," February 26, 2015, www.telegraph.co.uk/finance/newsbysector/epic/standard/11436307/Standard-Chartered-chief-and-chairman-to-leave-in-dramatic-director-exodus.html, accessed March 30, 2015.

¹³ *Financial Times*, "StanChart Investors Press Bank to Consider Leaving London," March 20, 2015, www.ft.com/intl/cms/s/0/0dd8924a-ce65-11e4-900c-00144feab7de.html#axzz3f4qsC5dl, accessed March 30, 2015.

¹⁴ *Bloomberg*, "Temasek Raises Stake in Standard Chartered to 18 Percent," December 24, 2007, www.bloomberg.com/apps/news?pid=newsarchive&sid=a9kkK9GTD37GU, accessed February 16, 2015.

¹⁵ *Reuters*, "StanChart Eyes Bank Stake Sales as It Tries to Slim Down," January 16, 2015, www.reuters.com/article/2015/01/16/stancharter-restructuring-idUSL3N0UU18Y20150116, accessed February 16, 2015.

¹⁶ *Reuters*, "Standard Chartered Considers HK Consumer Finance Unit Sale: Sources," February 19, 2014, <http://wincountry.com/news/articles/2014/feb/19/standard-chartered-considers-hk-consumer-finance-unit-sale-sources>, accessed February 16, 2015.

¹⁷ Temasek, "Temasek Review 2014," http://tr14.temasekreview.com.sg/content/dam/temasek/annual-review-2014/documents/en/Temasek_Review_2014_en.pdf, accessed February 15, 2015, p. 83.

¹⁸ *Ibid.*, p. 19.

¹⁹ Singapore Press Holdings Ltd., "Standard Chartered Axes Equities Business, Cuts 4,000 Jobs," *AsiaOne*, January 9, 2015, <http://news.asiaone.com/news/business/standard-chartered-axes-equities-business-cuts-4000-jobs>, accessed February 16, 2015.

²⁰ Share prices for SCB were taken from the London Stock Exchange.

²¹ All original share prices were in GBP and converted using the exchange rate of US\$1 = GBP£0.65.

²² *Financial Times*, "Temasek Reconsiders StanChart Stake," September 24, 2012, www.ft.com/intl/cms/s/0/a27e3094-0671-11e2-bd29-00144feabdc0.html#axzz3XLPXccKc, accessed February 16, 2015.

²³ KPMG LLP, "Basel III: Issues and Implications," www.kpmg.com/Global/en/IssuesAndInsights/ArticlesPublications/Documents/basel-III-issues-implications.pdf, accessed February 15, 2015.

²⁴ *Financial Times*, "BBVA Raises £1 Billion from Citic Bank Stake Sale," October 17, 2013, www.ft.com/intl/cms/s/0/6341974c-36f7-11e3-b42e-00144feab7de.html#axzz3hLn2ahxE, accessed February 15, 2015.

²⁵ US\$1 = GBP£0.65071 on February 16, 2015.

²⁶ *Reuters*, "StanChart Eyes Bank Stake Sales as It Tries to Slim Down," op. cit.